



Kroger

FRESH FOR EVERYONE™

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Planning

VISION:

“To create a world where everyone has access to fresh, nutritious and affordable food.”

PRIMARY COMPETITORS:

other retailers and supermarket chains such as Walmart, Costco, Albertsons, Target, Rite Aid, and Walgreens.

ABOUT:

Kroger is a retail company that operate supermarkets and department stores. Their businesses and services include grocery stores, supermarkets, online shopping, price-impact warehouse stores, multi-department stores, jewelry stores, and pharmacies.

MISSION:

“To feed the human spirit”

GOAL:

Kroger is about value, convenience, and making customers' lives easier.

STRATEGY:

“Zero Hunger Zero Waste Action Plan”

The goal of this strategy is to provide affordable, fresh food to people while reducing the amount of wasted food. The plan also includes inspiring and advocating for improvement in food production and distribution and community improvement.





Strengths

- Extensive range of product and services.
- Strong brand positioning and customer loyalty.
- Various statements and policies such as Community Engagement Principles, Greenhouse Gas Reduction Goal, and Animal Welfare Policy.
- Focus on DEI and inclusivity, and their plans making improvements in a variety of fields such as reducing hunger and waste, and improving the environment and community.



Weaknesses

- Its limited geographic reach, Kroger is only present in 35 U.S. states, which reduces its market potential.
- Focus on middle to upper class income earners.
- Profit margins and the ability to reinvest are impacted by high operating costs, especially in labor and logistics.
- Limited product control in third party vendors.
- Vulnerable to cyber security threats.



Opportunities

- Building strategic partnerships and branding opportunities.
IE: Combination with Albertsons, as Albertsons brings complementary technology and customer engagement tools.
- Leveraging their loyalty programs.
- Investing in e-commerce capabilities.



Threats

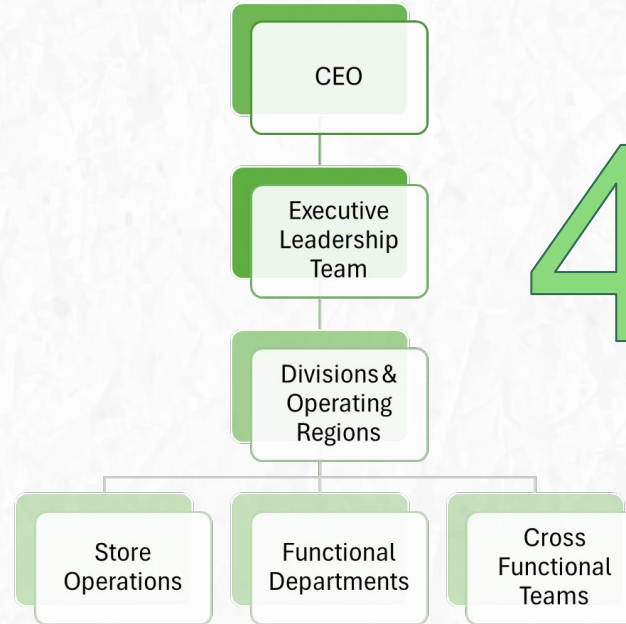
- Intense competition
- Shifting consumer preferences towards online shopping
- Profitability strained by economic weaknesses like inflation and growing costs, especially because Kroger only conducts business in the United States
- Supply chain disruptions



Organizing

- Kroger employs a hierarchical organizational structure designed to support the company's operations and ensure effective decision-making, communication, and execution of its strategies. The structure encompasses multiple levels of management, departments, and teams that work together to deliver on Kroger's goals and objectives.

Kroger's Organizational Structure:



4 Levels in the organization's hierarchy





Organizing



What organizational structure does the company use?

Kroger uses a hybrid model with centralized strategic and financial decisions, and decentralized operational decisions for local flexibility.

How is teamwork emphasized, and how are teams structured and managed?

Teams are organized by store functions with clear leadership, regular meetings, evaluations, and recognition to encourage collaboration.

What is the staffing process for this organization look like?

The process includes an online application, assessment, phone/video interview, and in-person interview.

What type of pay and benefits does the company offer?

Kroger offers competitive pay for entry-level positions (e.g., \$16.72 for cashiers, \$39.99 for directors). Benefits include health, dental, vision, life, disability, mental health insurance, FSA, HSA, on-site care, and retiree health.

What employee policies does Kroger have?

Kroger prioritizes a healthy work environment with inclusive recruiting, competitive pay, career advancement (up to \$21,000 in tuition forgiveness), wellness programs, flexible scheduling, and employee discounts on groceries, tech, and travel.



Organizing

How are employees trained?

- "Axonify is proud to support Kroger in coaching and training frontline grocery associates, helping to build a more knowledgeable and engaged workforce."

How are employee performances appraised?

- Kroger appraises employee performance through "Performance Excellence Discussions," with regular feedback and annual reviews focused on goals, customer service, and overall contribution, including both positive

What is the company's stance on workforce diversity, and what programs support it?

- Kroger is committed to diversity, equity, and inclusion with initiatives like bias training, mentorship, partnerships with HBCUs and HACU, and a goal to spend \$10 billion with diverse suppliers by 2030.

Axonify™





Leading



MOTIVATION

Kroger promotes a welcoming workplace for all associates from all walks of life. Kroger strives to be an employer that associates are proud to work for, where diversity and differences are celebrated, and growth opportunities are endless.

TRANSFORMATION

-Kroger's *Framework for Action* has the company committed to uniting and mobilizing its people, using passion, scale and resources to transform its culture and the communities it serves. This ongoing commitment includes: creating a more inclusive culture, developing diverse talent, advancing diverse partnerships, advancing equitable communities, and deeply listening and reporting progress.

EMPOWERMENT

-Leaders at Kroger empower their associates and bring out the best in teams and individuals, encourage a customer-focused mindset, and encourage a culture where people can use their voice to bring up ideas.



Leading (Cont.)



Chairman and CEO: W. Rodney McMullen

Responsibilities: Employing nearly half a million associates who serve America through food inspiration and uplift



Senior Vice President and Chief Merchant and Marketing Officer: Stuart Aitken

Responsibilities:

- Sales, pricing, promotional and category planning for Fresh foods, Center Store and General Merchandise categories,
- Analytics & Execution, e-Commerce and Digital Merchandising, Fuel and Our Brands



Interim Chief Financial Officer: Todd Foley

Responsibilities: Accounting & Financial Reporting, Financial Planning & Capital Management, Operational Finance, Tax, Pension Investment, Insurance & Claims, Treasury, Audit & Risk Management, Investor Relations, Mergers & Acquisitions, Payments Service & Support and Finance Modernization

Leading (Cont.)

Senior Vice President and
Chief People Officer: Timothy
Massa



Responsibilities: leading all
areas of HR and Labor
Relations including Total
Rewards, Labor Relations,
Diversity, Business Unit
Human Resources, People
Operations, Training and
Development, Talent Hiring,
Retention and Engagement,
Corporate Affairs, Associate
Communications, and Shared
Services and Aviation.

Senior Vice President and Chief
Information Officer: Yael Cosset



Responsibilities:

- Leading technology and digital capabilities for The Kroger Co., redefining the customer experience, and making the lives of associates easier
- working closely with senior business stakeholders to establish innovative and reliable technology platforms that allow Kroger to continually transform and adapt to a rapidly changing food and retail landscape





Controlling

Maintaining Control

- the “Restock Kroger” initiative, 2018
 1. redefine the grocery customer experience
 2. partner for customer value
 3. develop talent
 4. live Kroger’s purpose
- *Leading With Fresh* and *Accelerating With Digital*, 2021





Controlling



Financials

- Free cash flow: a company's available cash that is then used to repay creditors
- "Kroger annual revenue for 2024 was \$150B, which includes a \$1.2B increase from 2023." (Macro Trends)
- Kroger, Albertsons merger for \$24.6 billion, announced in Oct, 2022 → creating one of the largest grocery store chains in the US (5,000 stores, employing ~700,000 people)
 - rationale: increase efficiency, compete with competitors
 - FTC response: employee benefits at risk, lower quality products and services, high grocery prices, overall anticompetitive

<https://www.youtube.com/watch?v=ldx2qEJVxSs>



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